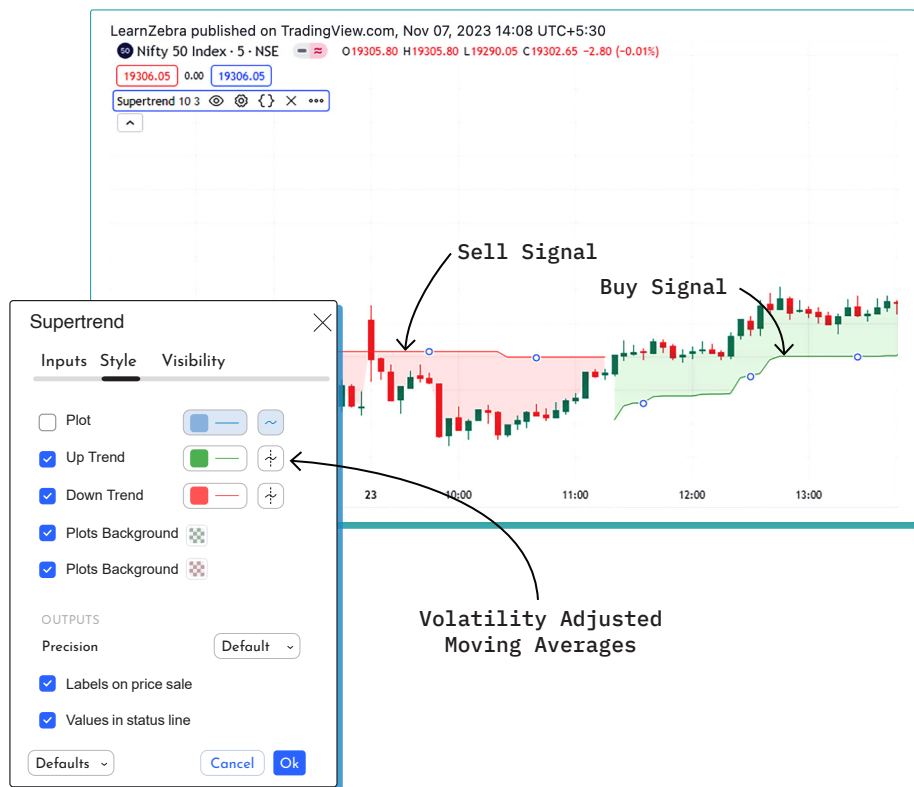


WHAT IS THE SUPERTREND?

The Supertrend technical indicator *was developed in the 1990's to generate automated buy and sell signals by using the volatility adjusted moving averages*. The Supertrend plots dynamic bands around prices that expand when the price is in an uptrend and shrinks when the price is in a downtrend based on the market volatility.



The Supertrend indicator is calculated as follows –

$$\text{Supertrend Line} = \frac{(\text{High} + \text{Low})}{2} + \text{Multiplier} \times \text{ATR}$$

If you are thinking about what ATR is then let me tell you.